



A share of the business

Large companies can be owned by a number of different investors, who buy shares in the company and have a say in how it is run.

It's good to share

However, shareholders actually have little control over the day-to day running of the firm. The business is managed by a board of directors who have been appointed by the shareholders to make decisions on how it is run. Often, they are chosen for their abilities to make a profit for the shareholders, and have shares in the company themselves. The amount of say shareholders have in the business is in direct proportion to the number of shares they hold, so that if someone has more than 50 percent of the shares he or she effectively controls the company. In practice, however, it is unusual for an individual person to have a majority shareholding in a major firm. In large companies,